

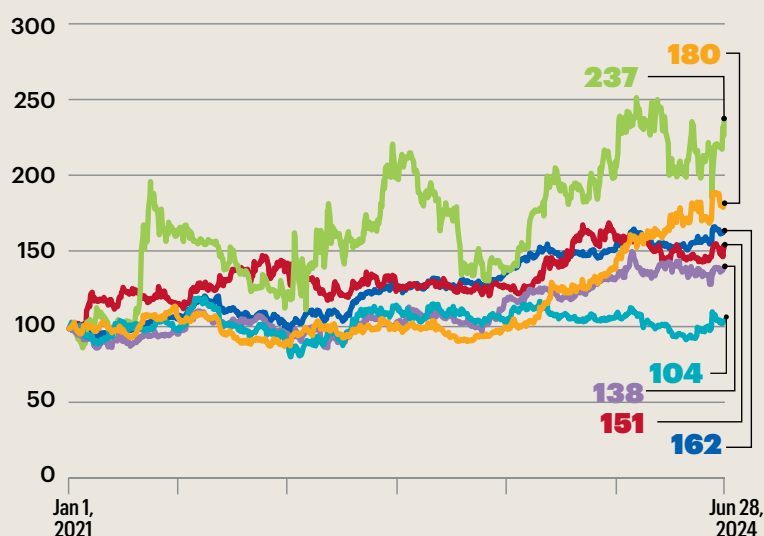
AHEAD OF THE COMPETITION

● Since the acquisition, the Patanjali Foods stock has outperformed its peers and the FMCG index

● The market cap of Patanjali Foods has grown to ₹53,225.91 crore on June 19, 2024, from ₹19,905.66 crore on January 1, 2021

— BSE FMCG INDEX
— PROCTER & GAMBLE HYGIENE AND HEALTH CARE
— PATANJALI FOODS
— NESTLÉ INDIA
— HINDUSTAN UNILEVER
— COLGATE-PALMOLIVE (INDIA)

DATA HAS BEEN INDEXED TO 100
SOURCE ACE EQUITY



36 |

Mistry, a Research Analyst at Antique, notes, “The company is gaining market share in the biscuits portfolio by outpacing industry growth with more and more direct reach outlets.” But Ramdev has another plan to improve margins: strengthen its grip on upmarket consumers.

“With over 700 million consumers in India, we have already reached the masses. Now it’s time to cater to the classes,” Ramdev says. Patanjali has ventured into the premium FMCG market. Starting with sports nutrition and nutraceutical products under the brand Nutrela, dry fruits, premium biscuits and ghee, it is expanding into premium categories like shower gel and bath soaps. Asthana said the company is shifting focus to the high-margin FMCG business. Mistry says the FMCG business’ performance is expected to be sustained, with management focussing on driving growth through distribution expansion and new product launches. “The company [will] emphasise on premiumisation, [and] a diversified product range, and broaden its distribution channels to drive growth,” he notes.

Experts like Bijoor say Patanjali should now focus on leveraging its popular brands like Dant Kanti. The herbal toothpaste brand is already No. 3 in India’s market after Colgate and Dabur Lal. “It’s a wonderful success. Patanjali has some terrific products cum brands. These products need to be pushed more by Patanjali,” he says.

Taking a cue from the market, the company has recently launched Dant Kanti Gel, which sells at a premium and lures younger consumers through its brand

ambassadors Tiger Shroff and Tamannaah Bhatia. To aid the distribution of its premium portfolio, Patanjali has grown its branded modern trade outlets, like Patanjali Mega Stores, to close to 400 across dozens of cities.

Patanjali Foods is key to Ramdev’s goal of achieving ₹1 lakh crore in revenue: ₹50,000 crore will come from it alone. It is also targeting exports. Products like Nutrela soya chunks and skin and hair care are being tried out abroad, while the Dant Kanti brand is being exported to over 50 countries. The rest would come from its current businesses and acquisitions in FMCG. Achieving the goal by FY28 would require its existing business to grow at 19% CAGR, which looks improbable. Tool: major acquisitions.

Ramdev says Patanjali plans to “enter a few new sectors soon, which will attract the world’s attention. Something out of the box”. “When we bought Ruchi Soya, critics said it’s a commodity business, an elephant. How will it run?” he recalls. Ramdev is betting on India’s economy and says sectors like agriculture and FMCG are huge. Then there are areas like health, education and research, he says.

Experts say Patanjali has gained by hiring professionals to steer the company. Apart from being efficient, professionals ensured corporate governance and transparency. Ramdev says one doesn’t have to tell professionals how to get things done. “But there are few who can come up with new ways of doing things,” he says. For that, there is Swami Ramdev. **BT**

@arndutt